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Asia – Chemicals | Asia Pacific

Strait-ening Up

Petrochemical cracker margins are nearly at mid-cycle in Asia – a lot faster than the Street is baking in. We think about half of the margin bounce is sticky, though the cost inflation-linked push will unwind. FCF recovery remains in play as capacity additions slow and capex outlook cuts continue.

Key Takeaways

- Wider availability of unsanctioned crudes should raise the cash cost curve for Chinese private integrated oil-to-chemical players and benefit producers in Asia.
- FCFs for Asian players have started recovering in the past two quarters and Street capex estimates have halved for 2026-2028, pointing to a recovery cycle.
- We expect margins to cool off from recent highs but see a path to mid-cycle profitability reappearing in 18-24 months.

Asian petrochemical cracker margins are now very close to mid-cycle levels despite rising naphtha supply, as evident in declining naphtha costs for most of the last three weeks.

Over the past year, weak cracker economics have led 10% of olefin capacity to be either permanently shut, not operational, or going through extended turnarounds. New capacity additions continue to be pushed out despite expectations of higher supply. Most Asian chemical companies started reporting positive FCF in the past three quarters as capex was reduced by nearly one-third. Expectations of FCF for 2026/2027 have been consistently rising in Street estimates. For the first time in nearly three years, we are seeing an earnings upgrade cycle in India, Southeast Asia, and select chemical value chains. Industry discipline is rising with four countries showing consolidation in capacities and equity stakes. We think the upcoming earnings season will surprise most in earnings quality – and will be a key event, in our view, for multiples to start reflecting a recovery cycle.

We maintain our non-consensus positive stance on chemicals, which we have held since 3Q25. Asian chemical investments are being reduced by half for the next three years, companies' FCFs are now running closer to mid-cycle, and net debt reduction has been a major focus. Also, refiners are no longer benefiting from cheap crude or naphtha access in North Asia, and beyond the current Middle East conflict, we see companies with strong domestic markets and cost curve advantages emerging even stronger, as tier 2 and tier 3 players suffer and shut capacity in the region.

How to position in chemicals – key OWs in Asia are Siam Cement, Mitsui

Chemicals, Sinopec-H, and Wanhua Chemicals: We like naphtha-based chemical producers over the natural gas players – they have stronger torque to the recovery cycle. The group trades at mid-cycle multiples on below mid-cycle earnings expectations, while also benefiting from industry consolidation.

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ASEAN ENERGY AND MATERIALS

Asia Pacific

Industry View

Attractive

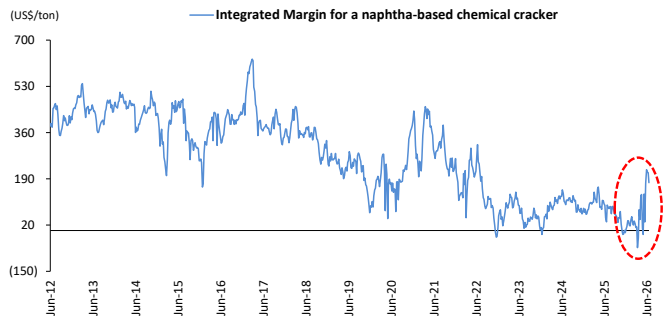
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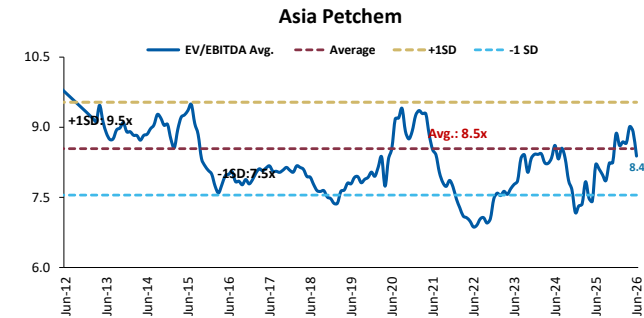
The Cycle: Valuations and Industry Margins

Exhibit 1: Integrated margins are below mid-cycle levels



Source: Refinitiv, Bloomberg, Morgan Stanley Research estimates

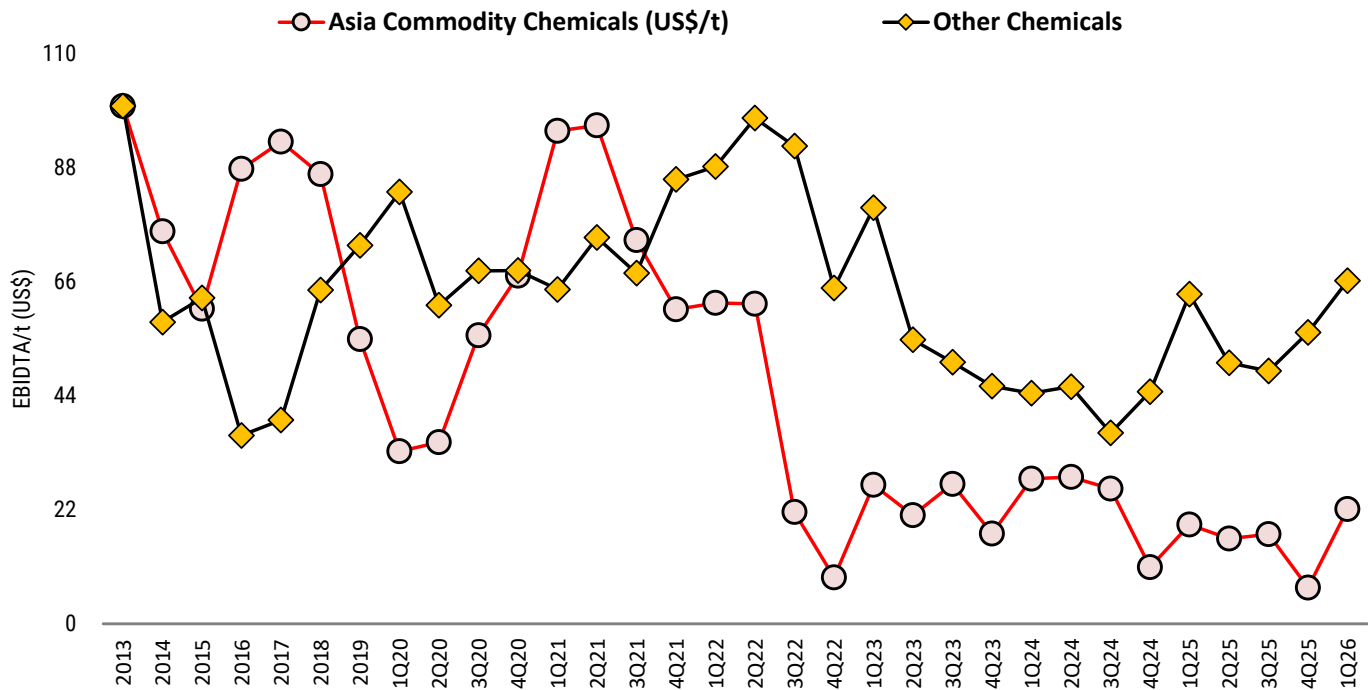
Exhibit 2: Commodity chemical valuations remain near trough levels despite improving fundamentals



Source: Refinitiv, Morgan Stanley Research

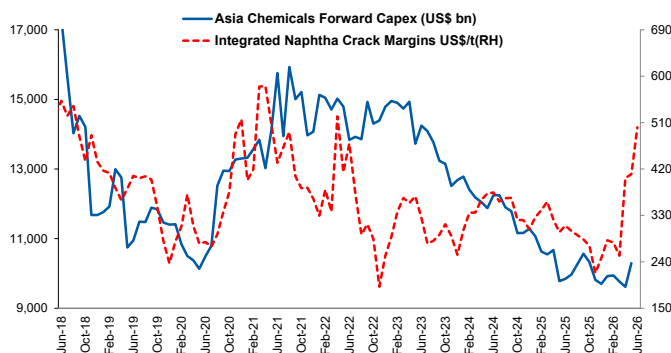
Chemical: The Cycles in Perspective

Exhibit 3: EBITDA/ton for Asian chemical companies has started to inflect



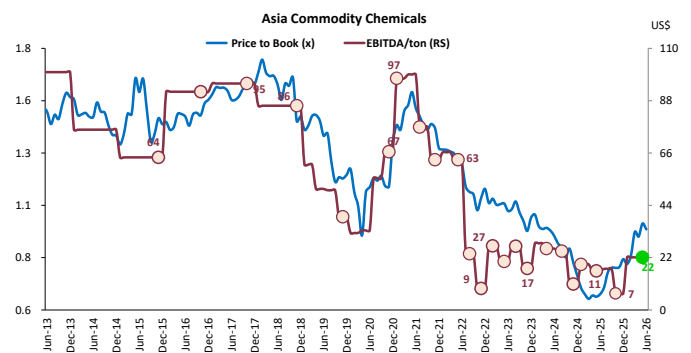
Source: Company Data, Morgan Stanley Research

Exhibit 4: The end of the capex super-cycle should improve industry discipline and returns.



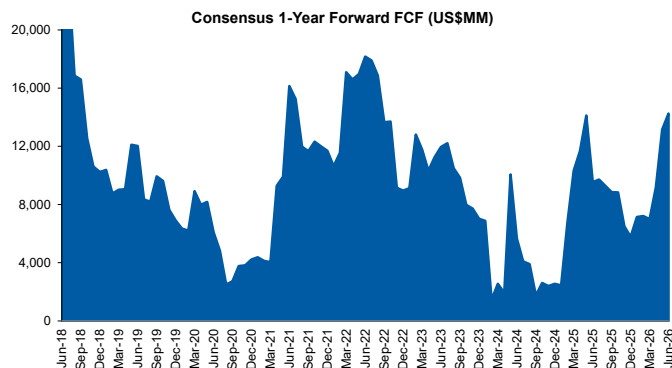
Source: Bloomberg, company data, Morgan Stanley Research.

Exhibit 5: Asian commodity stocks are trading at 1x one-year forward price-to-book



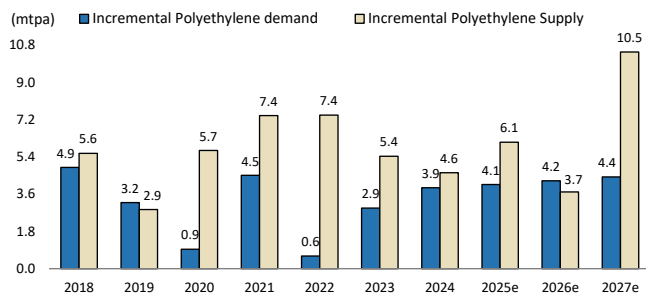
Source: Refinitiv, company data, Morgan Stanley Research.

Exhibit 6: We see an improving FCF profile and a renewed focus on balance sheet and capital allocation



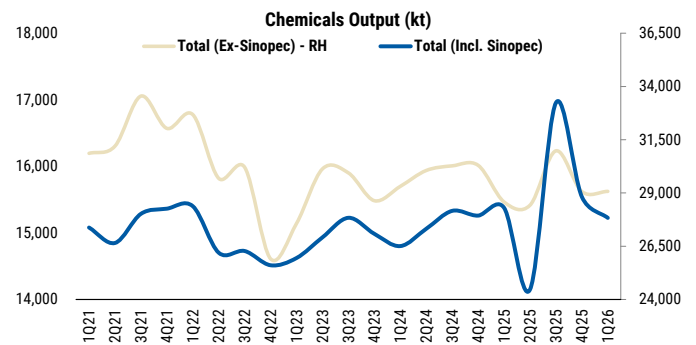
Source: Bloomberg, company data, Morgan Stanley Research.

Exhibit 8: PE – incremental supply-demand gap set to narrow in the near term



Source: IHS, company data, Morgan Stanley Research (e) estimates.

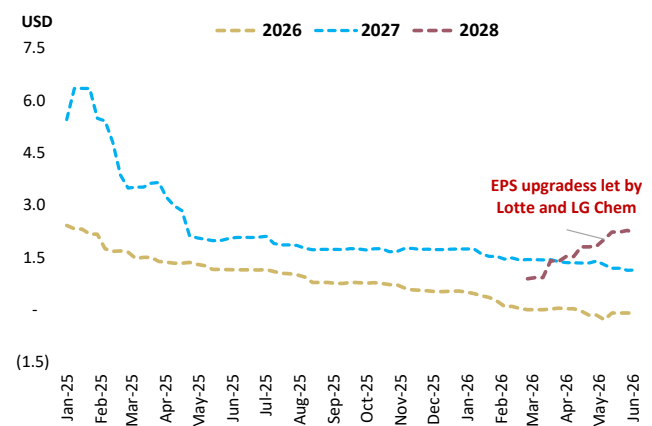
Exhibit 7: Asian chemical plants have been lowering plant runs and volumes, as well as cutting capacity since 2021



Source: Company data, Morgan Stanley Research.

Exhibit 9: Rise in the Street's 2028 EPS estimates indicates a structural turnaround as capacity consolidates

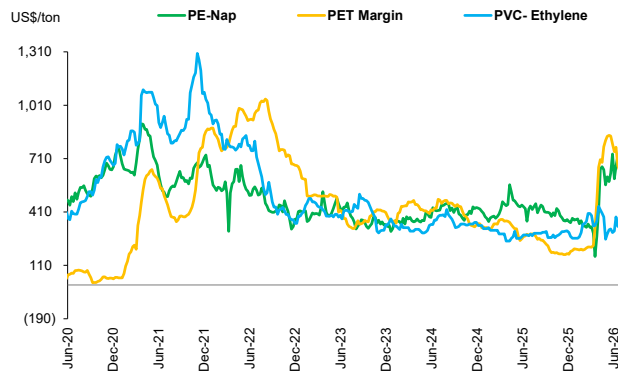
Consensus EPS revision - Asia Petchem



Source: Refinitiv, Morgan Stanley Research

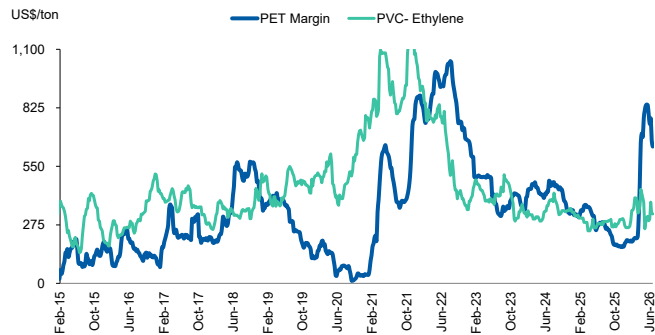
How Spreads Are Moving

Exhibit 10: Product spreads are beginning to recover across key chemical chains



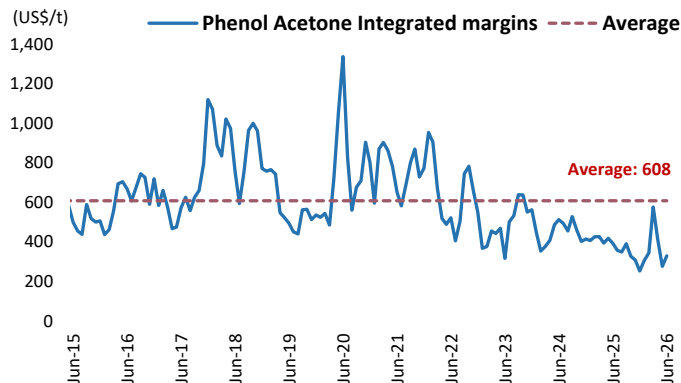
Source: Refinitiv, Bloomberg, Morgan Stanley Research estimates

Exhibit 12: PET spreads have significantly outperformed YTD



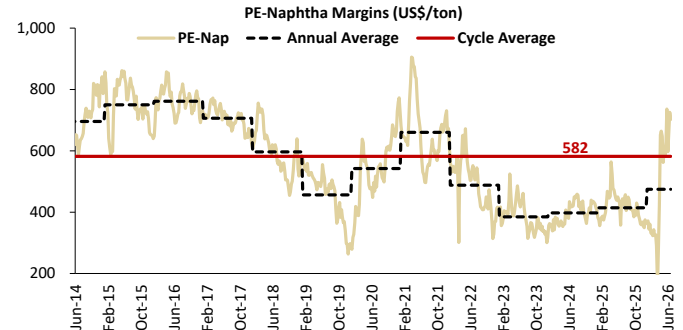
Source: Refinitiv, Bloomberg, Morgan Stanley Research estimates

Exhibit 14: Integrated phenolic spreads have softened in the past month; back to pre-crisis levels



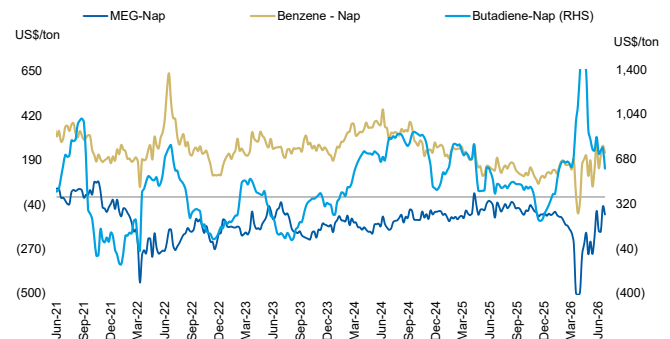
Source: Refinitiv, Bloomberg, Morgan Stanley Research estimates

Exhibit 11: PE spreads are near cyclical average (ex-Covid period)



Source: Refinitiv, Bloomberg, Morgan Stanley Research estimates

Exhibit 13: Butadiene margins have moderated sharply MoM, while aromatics have been stable



Source: Refinitiv, Bloomberg, Morgan Stanley Research estimates

Valuation Methodology and Risks

China Petroleum & Chemical Corp. (0386.HK)

- E&P business - DCF (WACC of 9.6% and long-term growth of 0.0%), at HK\$2.25/shr remaining unchanged.
- Refinery - 0.8x 2026e P/B at HK\$2.68/shr, vs. 1x old multiple, due to freight inflation.
- Chemicals - 0.6x 2026e P/B at Rmb0.8/shr.
- Marketing - 10x 2026e P/E at Rmb1.87/shr .

Risks to Upside

- Higher-than-expected refiner utilization rate
- Higher-than-expected oil prices
- Better-than-expected cost control
- Higher-than-expected chemical demand

Risks to Downside

- Lower-than-expected refiner utilization rate
- Weaker-than-expected economic growth and demand
- Lower-than-expected oil prices
- Larger-than-expected surge in E&P costs and capex
- Stronger-than-expected competition from teapots

Mitsui Chemicals (4183.T)

Our price target equates to a F3/28e P/E of 11.4x EPS ¥254.2; Considering the diversified business portfolios of companies in the petrochemical majors sector, we use a SoTP approach for our price targets, valuing the individual segments of a company based on P/E multiples at listed peers in the same areas. By segment, we use 9.0x for mobility, 13.5x for life & healthcare, 12.5x for ICT, 7.5x for basic & green materials.

Risks to Upside

- Major supply/demand & price change for core products such as phenol; major volatility in the oil price
- Market share gain in electronic chemicals

Risks to Downside

- Yen strength: ¥1 rise vs. USD pares ¥800–¥900mn from annual OP. From F3/27 onwards we assume ¥150/\$.
- Automotive market deterioration

Wanhua Chemical (600309.SS)

We value the sustainable earnings of Rmb19bn using a 15x P/E multiple, which is the mid-cycle level for Wanhua. We value the potential upside from longer global supply disruptions of ~Rmb5.1bn using a 10x P/E multiple.

Risks to Upside

- Severe global petchem supply disruptions.
- Re-stocking demand further boosts sales volume.
- Penetration of new products on schedule.

Risks to Downside

- High petrochemical prices lead to demand destruction which in turn hurts volume and prices.
- Prolonged feedstock supply issues (i.e., LPG and naphtha) cause deep losses.

Siam Cement (SCC.BK)

We apply a P/B multiple to SCG's 2026e tangible book value to derive our price target. Our tangible book value is derived by deducting the value of goodwill and intangible assets from our 2026e shareholders equity. To this, we apply a P/B of 1.2x, which reflects our view that investors will re-rate stocks to tangible book as confidence in the repair cycle steadily improves.

Risks to Upside

- Polyolefin margins
- Capacity cuts, slowing new supply growth
- Capital efficiency in growth capex

Risks to Downside

- Limited signs of chemical capacity discipline
- Cement, packaging margins remain muted
- Capex outlay in non-core segments

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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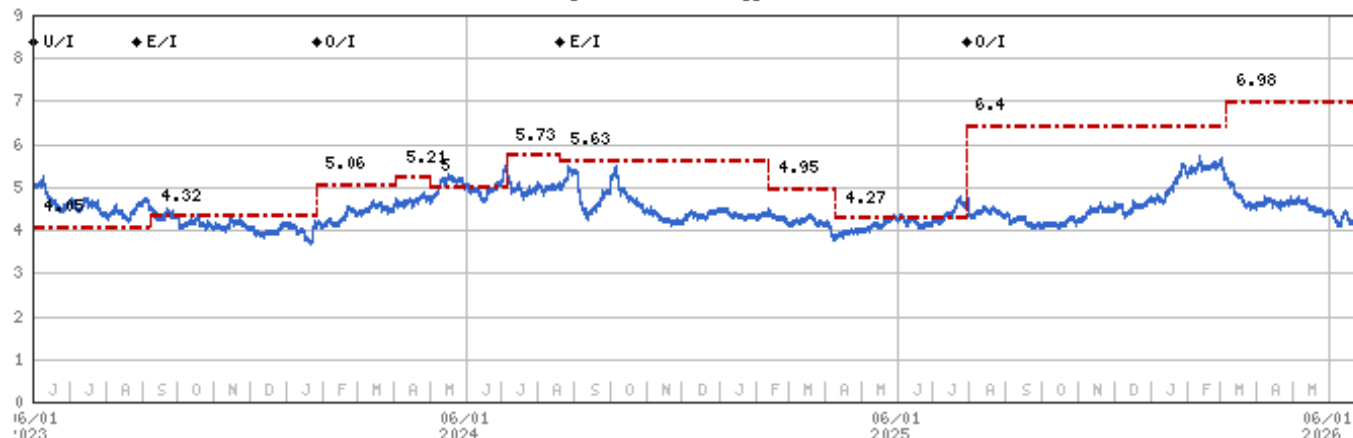
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below. Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

China Petroleum & Chemical Corp. (0386.HK) - As of 06/26/26 GMT in HKD
Industry : China Energy & Chemicals



Stock Rating History: 6/1/21 : O/A; 2/14/22 : E/A; 8/18/22 : E/I; 4/13/23 : U/I; 8/28/23 : E/I; 1/26/24 : O/I; 8/19/24 : E/I; 7/29/25 : O/I

Price Target History: 5/12/21 : 5.3; 9/3/21 : 5.61; 10/8/21 : 5.73; 2/14/22 : 4.69; 3/3/22 : 4.73; 11/8/22 : 3.84; 2/20/23 : 3.91; 4/13/23 : 4.05; 9/8/23 : 4.32; 1/26/24 : 5.06; 4/3/24 : 5.21; 5/2/24 : 5; 7/5/24 : 5.73; 8/19/24 : 5.63; 2/12/25 : 4.95; 4/9/25 : 4.27; 7/29/25 : 6.4; 3/6/26 : 6.98

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Mitsui Chemicals (4183.T) - As of 06/26/26 GMT in JPY
Industry : Petrochemical Majors



Stock Rating History: 6/1/21 : O/A

Price Target History: 3/25/21 : 2250; 6/24/21 : 2400; 9/7/21 : 2700; 12/22/21 : 2175; 3/18/22 : 1950; 6/1/22 : 2050; 4/10/23 : 2200; 6/16/23 : 2500; 1/10/24 : 2600; 9/12/24 : 2500; 1/9/25 : 2325; 3/4/25 : 2150; 8/20/25 : 2250; 1/28/26 : 2700; 3/12/26 : 2900

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

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Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

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Siam Cement (SCC.BK) - As of 06/26/26 GMT in THB
Industry : ASEAN Energy and Materials



Stock Rating History: 6/1/21 : O/A; 4/28/22 : NA/A; 6/24/24 : NA/A; 7/16/24 : NA/A; 8/21/24 : NA/A; 9/6/25 : O/A

Price Target History: 1/12/21 : 436; 4/28/22 : NA; 9/6/25 : 285; 2/13/26 : 270

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

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Wanhua Chemical (600309.SS) - As of 06/26/26 GMT in CNY
Industry : China Energy & Chemicals



Stock Rating History: 6/1/21 : E/A; 7/2/21 : O/A; 8/18/22 : O/I; 11/25/24 : E/I; 4/7/25 : U/I; 7/29/25 : E/I; 9/17/25 : O/I; 2/2/26 : E/I; 4/10/26 : O/I

Price Target History: 2/5/21 : 122.8; 7/2/21 : 147.2; 7/9/21 : 160.3; 10/19/21 : 166.4; 8/18/22 : 113.4; 12/11/23 : 115.8; 6/11/24 : 100; 11/25/24 : 74; 4/7/25 : 54; 4/22/25 : 51; 7/29/25 : 70; 9/17/25 : 80; 4/10/26 : 101

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/26/2026)
Mayank Maheshwari		
Alamtri Resources Indonesia (ADRO.JK)	U (01/18/2024)	Rp2,250

Bangchak Corporation Public Company (BCP.BK)	O (01/04/2026)	Bt33.25
Indorama Ventures PCL (IVL.BK)	O (08/09/2024)	Bt21.10
Keppel Ltd (KPLM.SI)	O (02/15/2024)	S\$11.06
Petronas Chemicals Group Berhad (PCGB.KL)	O (07/29/2025)	RM4.02
PTT Exploration & Production (PTTEP.BK)	O (02/11/2026)	Bt130.00
PTT Global Chemicals (PTTGC.BK)	O (07/29/2025)	Bt32.25
PTT Oil and Retail Business PCL (OR.BK)	E (08/09/2024)	Bt12.20
PTT Public Company (PTT.BK)	E (04/07/2026)	Bt35.00
Seatrium Limited (SEAT.SI)	U (01/16/2026)	S\$1.95
Siam Cement (SCC.BK)	O (09/06/2025)	Bt240.00
Star Petroleum Refining (SPRC.BK)	O (12/19/2018)	Bt7.50
Thai Oil Public Company (TOP.BK)	O (04/07/2026)	Bt46.75
United Tractors Tbk PT (UNTR.JK)	O (01/20/2026)	Rp22,600
Ryan M Heng		
Indocement Tunggal Prakarsa Tbk PT (INTP.JK)	E (06/18/2026)	Rp4,150
Semen Indonesia (Persero) Tbk PT (SMGR.JK)	U (11/18/2024)	Rp1,465

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